E-commerce and Online Retail

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Introduction to E-commerce

E-commerce, short for electronic commerce, is the buying and selling of goods and services, and the transfer of money and data, over the internet. Online retail is the part of e-commerce in which businesses sell products to consumers through websites and apps. The first online transaction is often said to be in 1994, when a Sting CD was sold on the website NetMarket, and Amazon started selling books online in 1995, with eBay launching the same year. E-commerce grew because of faster internet, smartphones, secure online payments and home delivery. In India, e-commerce took off with the arrival of cheap 4G data after 2016, and UPI payments, and the market has reached over 100 billion US dollars, with more than 250 million online shoppers, and is predicted to grow severalfold by 2030.

Types of E-commerce Models

The main models are B2B, B2C, C2C and D2C. Business-to-Business (B2B) e-commerce is when a business sells products or services to another business, such as a manufacturer selling raw materials to a factory, or a wholesaler selling to retailers. Examples are IndiaMART, Udaan, Alibaba, Amazon Business and TradeIndia. Order sizes are usually large, prices are negotiated, relationships are long term, and the buyer is often a professional. Business-to-Consumer (B2C) e-commerce is when a business sells directly to individual customers, such as buying a phone on Amazon, shoes on Myntra, groceries on BigBasket or food from Zomato. Examples include Amazon, Flipkart, Myntra, Nykaa, Meesho and Ajio. Orders are small, prices are fixed and the focus is on convenience and marketing. Consumer-to-Consumer (C2C) is when individuals sell to other individuals through a platform, such as used goods on OLX or Quikr. Direct-to-Consumer (D2C) is when brands sell directly via their own websites, bypassing middlemen, such as boAt and Mamaearth. So the difference between B2B and B2C is who the buyer is: a business or an individual consumer, along with differences in order size, pricing, decision process and relationship.

E-commerce in India

Flipkart was founded in 2007 in Bengaluru by Sachin Bansal and Binny Bansal, and acquired by the American retailer Walmart in 2018 for about 16 billion dollars. Amazon began operations in India in 2013. Snapdeal, Myntra, Nykaa, Meesho (which allows small sellers and resellers to sell on social media), and the quick commerce companies such as Blinkit, Zepto and Swiggy Instamart, which deliver groceries in 10 to 20 minutes, are also important. Sales events such as Big Billion Days and the Great Indian Festival are held at festival time. Government rules for e-commerce include the Consumer Protection (E-Commerce) Rules, 2020, and foreign investment limits. Chennai is a major hub of warehouses and fulfilment centres, and Tamil Nadu has a large number of Zoho and local online sellers.

What Is ONDC?

ONDC stands for Open Network for Digital Commerce. It is a government-backed initiative, started by the Department for Promotion of Industry and Internal Trade (DPIIT). The company was incorporated on 31 December 2021, and the network went live as a pilot in Bengaluru and other cities from September 2022. ONDC is not a marketplace or an app like Amazon; it is an open network, based on open protocols, that lets buyers and sellers connect irrespective of which platform they use, much as UPI lets people with different apps pay each other, or as email works across providers. On a normal platform, a seller must list on Amazon, Flipkart and others separately, and each platform controls the customer data and rules. In ONDC, a buyer on one app, such as Paytm, Magicpin, PhonePe's Pincode or Ola's app, can discover and buy from a seller using a different seller app, and logistics and payment providers are also integrated through the network. ONDC aims to democratise e-commerce, lower costs for small sellers, kirana shops and farmers, reduce dominance of large platforms, and give consumers more choice. It covers groceries, food delivery, fashion, electronics and mobility. It is set up as a non-profit company, and the Quality Council of India and the Protean eGov Technologies are involved.

How Online Shopping Works

A customer searches for a product on a website or app, adds it to the cart and pays through UPI, card, net banking, wallet, EMI or cash on delivery. The order is passed to the seller, packed at a warehouse (fulfilment centre), handed over to a logistics partner, delivered, and the payment is settled with the seller after deducting commission. Returns and refunds are handled through reverse logistics. Algorithms provide product recommendations, and reviews and ratings help build trust.

Two Challenges of E-commerce Logistics

Two main challenges are last-mile delivery and returns (reverse logistics). Last-mile delivery, the final leg from the local hub to the customer's door, is the most expensive and most difficult part, accounting for up to half of the total shipping cost; reasons include traffic congestion, poor addresses, difficult terrain, remote rural areas, customers not at home and failed delivery attempts. Returns are another major issue: return rates are high, especially in fashion, where they can reach 20 to 30 percent or more, and every returned item has to be picked up, inspected, repackaged and restocked, costing money. Other challenges are cash on delivery fraud and handling, warehousing costs, damaged goods, peak-season pressure during festival sales, inventory management, lack of cold chain for perishables, delivery partners' working conditions, packaging waste and cybersecurity and fraud risks. The government's National Logistics Policy of 2022 and PM Gati Shakti aim to cut the cost of logistics.

Benefits and Concerns

E-commerce offers convenience, wide choice, price comparison, discounts, and access to products in small towns. It creates jobs, from delivery workers to sellers. It also helps artisans and small businesses to reach customers, such as the weavers of Kanchipuram and handicraft makers in Tamil Nadu selling online. Concerns include harm to small shops, fake products, data privacy, deep discounts and the working conditions of gig workers.

Challenges and Future

The future includes quick commerce, social commerce, voice and vernacular shopping, drone delivery, AI recommendations, augmented reality try-ons, and more use of ONDC. Consumers should check sellers, read return policies and beware of fake websites.

Quick Facts

- B2B is business selling to business, as on IndiaMART; B2C is business selling to consumers, as on Amazon or Flipkart.
- ONDC is the Open Network for Digital Commerce, a government-backed open network; the company was incorporated on 31 December 2021 and the pilot began in September 2022.
- Two logistics challenges are last-mile delivery and returns.
- Flipkart was founded in 2007 and acquired by Walmart in 2018.
- Amazon started in India in 2013.